

Freeport Sulphur Company. The exhibit of the then Freeport Texas Company in 1933 supplies the same type of problem for the analyst, and it also raises the question of the propriety of the use, under such circumstances, of the past earnings record to support the sale of new securities. An issue of \$2,500,000 of 6% cumulative convertible preferred stock was sold at \$100 per share in January 1933 in order to raise funds to equip a new sulphur property leased from certain other companies.

The offering circular stated among other things:

1. That the sulphur reserves had an estimated life of at least 25 years based upon the average annual sales for 1928–1932;
2. That the earnings for the period 1928–1932 averaged \$2,952,500, or 19.6 times the preferred-dividend requirement.

The implication of these statements would be that, assuming no change in the price received for sulphur, the company could confidently be expected to earn over the next 25 years approximately the amounts earned in the past.

The facts in the case, however, did not warrant any such deduction. The company's past earnings were derived from the operation of two properties, at Bryanmound and at Hoskins Mound, respectively. The Bryanmound area was owned by the company and had contributed the bulk of the profits. But by 1933 its life was "definitely limited" (in the words of the listing application); *in fact the reserves were not likely to last more than about three years.* The Hoskins Mound was leased from the Texas Company. After paying \$1.06 per ton fixed royalty, no less than 70% of the remaining profits were payable to Texas Company as rental.³ One half of Freeport's sales were required to be made from sulphur produced at Hoskins. The new property at Grande Ecaille, La., now to be developed, would require royalty payments amounting to some 40% of the net earnings.

When these facts are studied, it will be seen that the earnings of Freeport Texas for 1928–1932 had no direct bearing on the results to be expected from future operations. The sulphur reserves, stated to be good for 25 years, represented mineral located in an entirely different place and

³ The rate had been 50% until Freeport recouped its capital expenditures on the property. Illustrative of the general theme of this chapter is the break in Freeport's price from 109¹/₄ to 65⁵/₈ in January-February 1928 coincident with the change in the royalty rate. The student may examine a similar development in the case of Texas Gulf Sulphur, occurring in 1934–1935.